WEEKLY SHIP RECYCLING REPORT

bestoasis

4th March to 11th March 2022

Highlights of the Week

The ship recycling market is seeing increasing offers from end buyers with each passing day due to the tight steel supply and the declining number of vessels being retired for recycling. With the ongoing geopolitical tensions, ocean freight rates are on a rise again and shipowners are holding onto their vessels to take advantage of the available earning opportunities. The demand for tonnage remains high in all recycling destinations to fulfil the domestic and export market requirements.

The Iran nuclear deal which was close to being revived after months of talks have now been stalled citing "external factors" with no indication of when or if they will resume. Russia's eleventh-hour interference by demanding a "written guarantee" that the sanctions do "not in any way damage our right to free and full trade, economic and investment cooperation and military-technical cooperation with the Islamic state" created complexity and made it difficult to reach a consensus.

Oil prices soared to USD 140/barrel this week due to the news of the U.S. ban on Russian crude imports as mounting sanctions against Russia sparked fears that an already tight market may be stretched further. This price rally took a breather on Wednesday when the U.A.E. called for OPEC+ to boost output faster bringing it to the current level of USD 106/barrel.

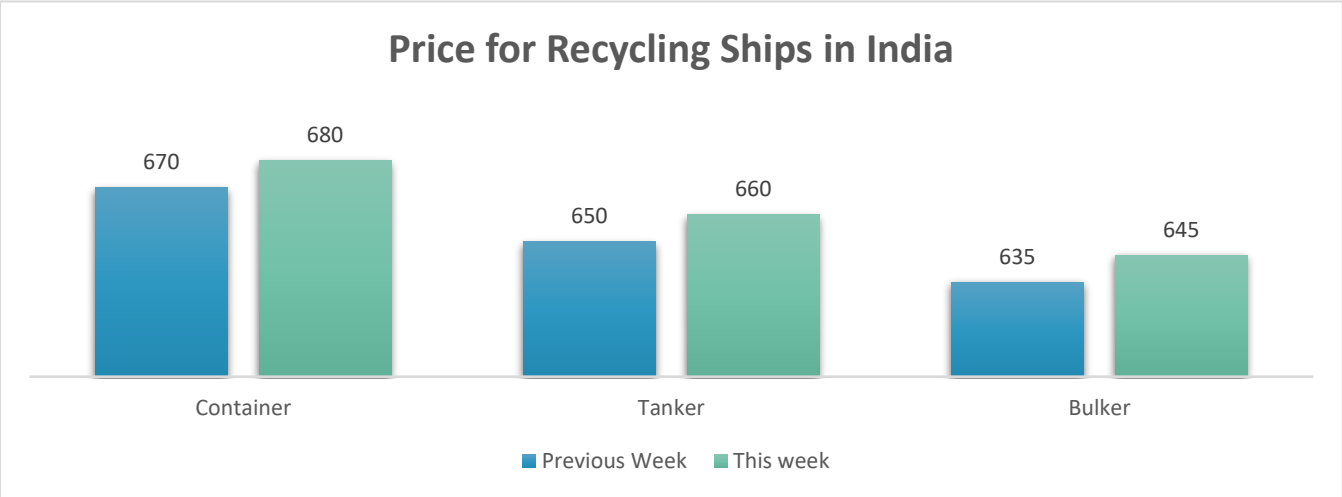
The Federal Reserve is expected to raise its interest rate next week in the hope of taming soaring prices even as the ongoing war has already fanned the flame of global inflation.

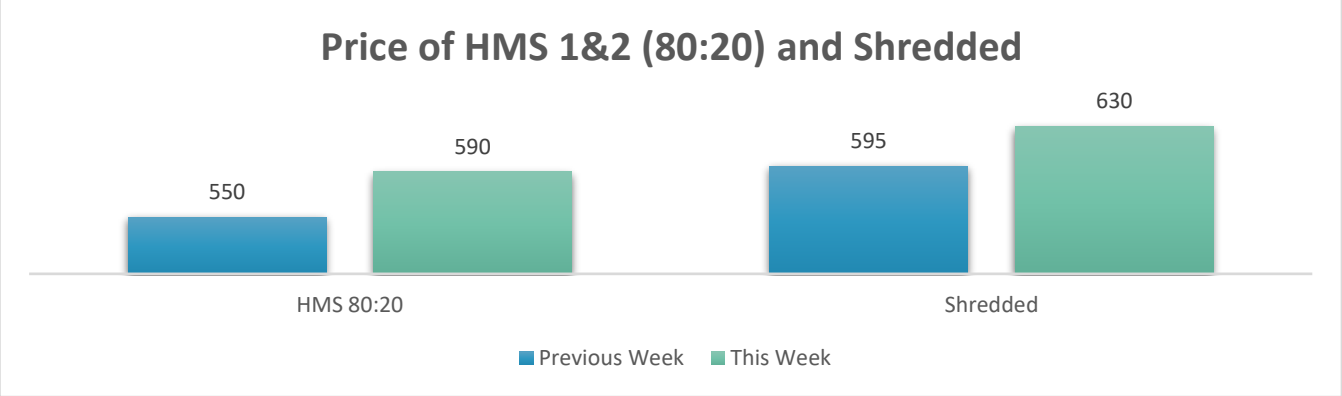
INDIA

Market maintains strong momentum

Steel prices remained on an upward spiral yet again this week as the rising demand from domestic and overseas buyers continues to outpace supply in the market. Although the appetite of recyclers continues to be strong, it remains to be seen till what price level buyers will reach to secure tonnage!

Indian steel mills are rushing to fill a supply gap created by Russia's invasion of Ukraine, as consumers from Europe, Middle East and Africa turn to the world's second-largest producer. Even with export being almost USD 250/MT more lucrative than domestic sale, the potential to export more steel remains limited as local demand is booming and mills are already running at peak capacity, limiting their ability to scale up for overseas orders.





Beaching Dates:

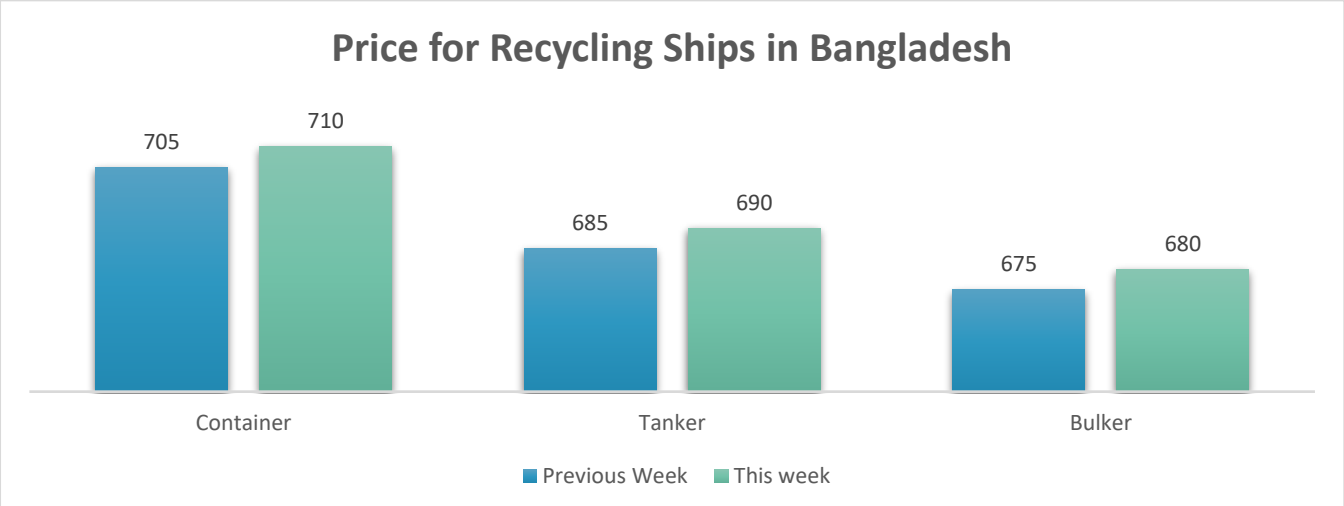
17th March to 24th March 2022
30th March to 5th April 2022
16th April to 22nd April 2022

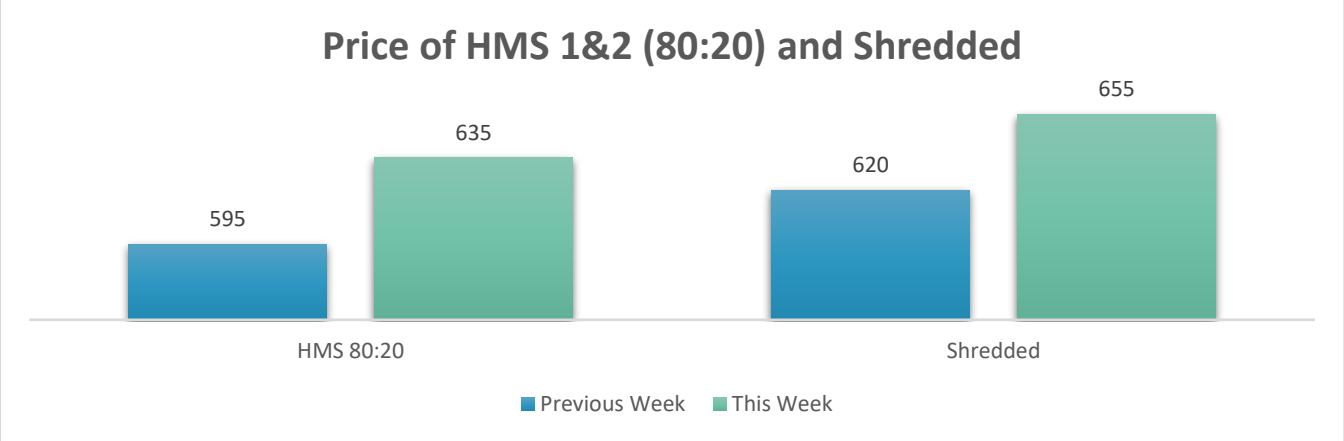
BANGLADESH

Leading the Subcontinent Market

Increasing steel demand, limited availability of raw materials, and rising global scrap prices are driving up the offers from end buyers in Bangladesh who are scouting for tonnage amidst an intense price competition with the neighboring markets of India and Pakistan while also being wary of procuring units at such steep prices.

Steel mills have continued to hike prices for the fifth consecutive week, with rebar prices increasing by up to USD 40/MT. Furthermore, the price of imported scrap in containers has also risen by USD 50/MT this week.





Beaching Dates:

19th March to 22nd March 2022
1st April to 4th April 2022
17th April to 20th April 2022

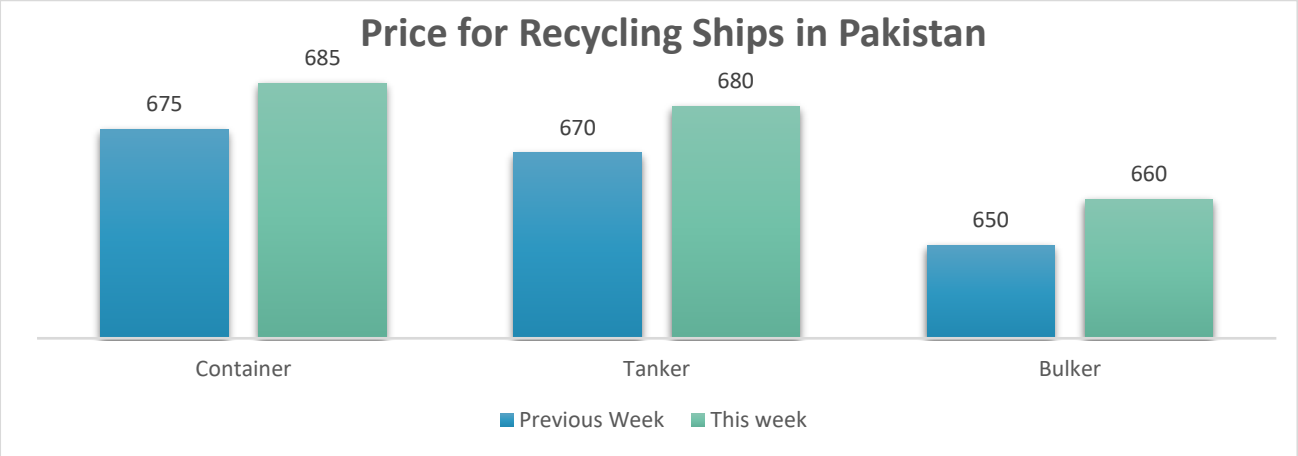
PAKISTAN

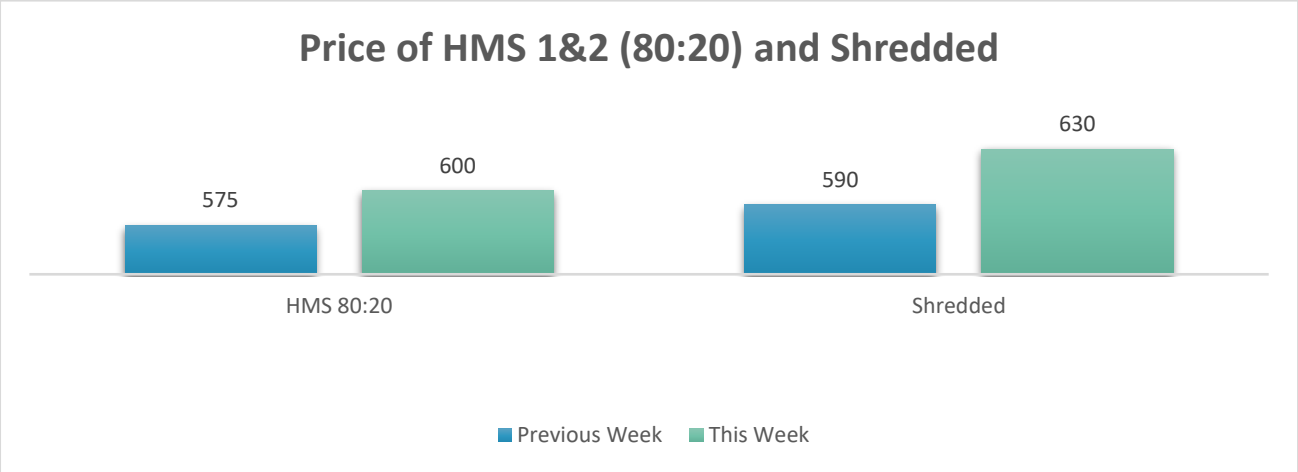
Rise in price of Ship Plates

The end buyers of Gadani are apprehensive about closing deals at the ongoing elevated levels, coupled with the excess amount they have to shell out due to the depreciation in the Pakistani Rupee which is currently trading at PKR 178.94/USD. Despite the uncertainties, there is stable demand from the recyclers due to the rising domestic steel prices.

The increasing cost of inputs and supply chain disruptions has forced major steel mills to raise steel bar prices by about USD 50/MT this week. The market participants fear that any further increase in prices is likely to slow down construction activities and suppress the steel demand.

Imported scrap prices have increased by about USD 30/MT week-on-week.





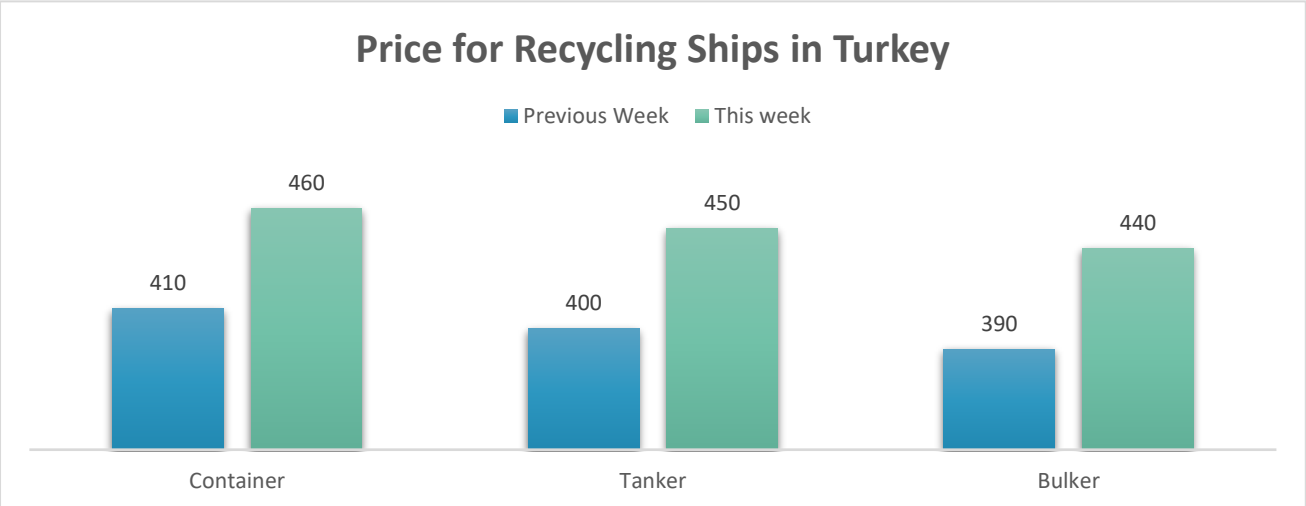
Beaching Dates:
Throughout the month

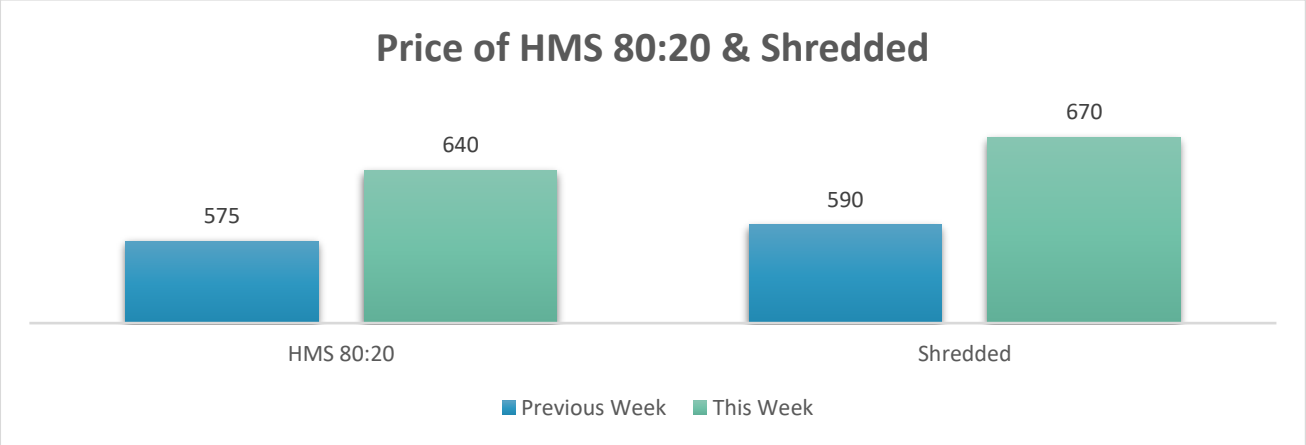
TURKEY

Steel prices rally amid strong demand

Major steel producers have announced a further price hike of about USD 70/MT in domestic rebar this week following the rise in price of imported scrap due to the ongoing Russia-Ukraine conflict. In spite of the dramatic increase in prices, the demand is only getting stronger as the countries which were previously importing from Russia and Ukraine are now turning to Turkey to fulfil their requirements.

The Turkish Lira continued to decline against the dollar amid acceleration in geo-political events. Currently, it is being traded at TL 14.73/USD in the currency exchange market.



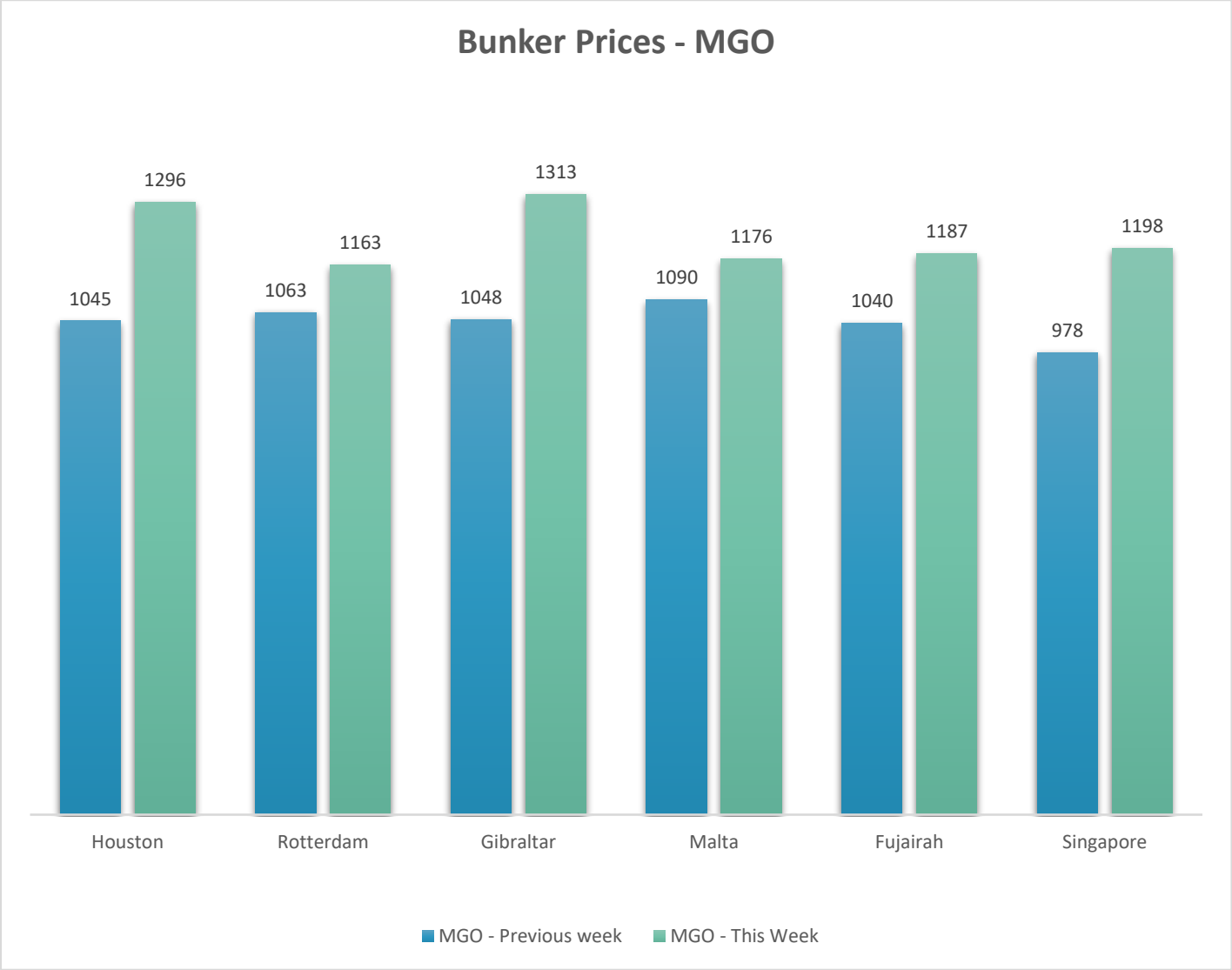


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

- No vessel sales to report

BUNKER PRICES AT PORT



CONTACT US

www.best-oasis.com

bol@bol.ae

GERMANY

Mr. Gerd Leopold

President (Purchase)

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

U.A.E.

Mr. Naren Sampath

Ship Broker (Purchase)

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali

Ship Broker (Purchase)

Phone: +971 4575 4667
Mobile: +971 58 645 0162

GREECE

Mr. Yiannis Kourkoulis

Vice President (Purchase)

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona

Commercial Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

CHINA

Capt. Steven Xu

Company Representative

Mobile: +86 136 6600 0719
Email: capt.xu@139.com,
china@bol.ae

JAPAN

Mr. T Ishii

Company Representative

Phone: +81 354 522 405
Mobile: +81 901 536 1497
Email: ishii.i.i@ktd.biglobe.ne.jp

Disclaimer:

While every care has been taken to ensure that the information in this publication is accurate, Best Oasis Limited can accept no responsibility for any error or omissions or any consequences arising therefrom. Figures are based on latest available information, which is subject to subsequent revisions and corrections. The views expressed are those of Best Oasis Limited and do not necessarily reflect the views of any other associated company. Reproducing any material from this report without permission from Best Oasis Limited is strictly prohibited.